Bolivia's Political Situation

Bolivia, South America

SIGNAL

Bolivia's government is executing a rapid economic stabilization program — ending the 15-year currency peg, devaluing the boliviano by 30%, and securing a $1.9 billion IMF staff-level agreement expected to catalyze $3.1 billion in additional multilateral financing — with the explicit backing of the Trump administration.

FRACTURE

The currency devaluation pushed June inflation to a 38-year high of 5.2%, and compounding pressures — acute diesel shortages threatening the soybean harvest, a judiciary demanding 5% of the budget, and the IMF deal landing well below expectations — are eroding economic stability precisely when Paz lacks the congressional support and social legitimacy to implement the complementary structural reforms that would make the stabilization effort sustainable.

Paz will survive 2026 but emerge politically crippled, unable to pass structural reforms and dependent on military support to maintain basic governance functions through end of 2026.

60%

PROBABILITY

TARGET: DECEMBER 2026

CONFIDENCE: MEDIUM

WHAT'S NEW

- **Probability lowered from 65% to 60%.** The IMF deal came in at $1.9 billion — well below the government's $3.3 billion request and earlier $5 billion expectations — while structural economic pressures (diesel shortages, inflation, judicial crisis) are compounding faster than Paz's political capacity to address them. The arrest warrant for Evo Morales is a legal victory that carries material destabilization risk.
- **July 6:** Bolivia's Supreme Court judicial authorities threatened a nationwide strike unless the government allocates 5% of the national budget to the justice system. HRW documented 22,000 pending cases in the Constitutional Court basement, ~12% public trust in the judiciary, and 0.46% budget allocation — the lowest in Latin America.
- **July 9:** Bolivia invited Petrobras to return to oil and gas exploration and production, and to help restructure state-owned YPFB (Reuters). Energy Minister Marcelo Blanco announced technical working groups but declined to provide investment figures or timelines.

- **July 15:** Bolivia formally abandoned its 15-year fixed currency peg, transitioning to a floating exchange rate. The boliviano moved from the official 6.96 to market-determined rates, with parallel market rates previously reaching 12.9–14.5 bolivianos per dollar.
- **July 20:** Minister of the Presidency José Luis Lupo called the IMF deal "indispensable" as reserves had fallen to $2.3 billion and gas export revenue dropped 31%.
- **July 28:** Acute diesel shortage threatens Bolivia's $1 billion+ soybean export industry. Santa Cruz — the country's agricultural engine — requires 3 million liters of diesel per day to harvest 950,000 hectares. Anapo GM Jaime Hernández warned farmers have no certainty of diesel supply, with delivery bottlenecks and allocation uncertainty remaining acute.
- **July 29:** The IMF reached a staff-level agreement with Bolivia on a $1.9 billion, three-year Extended Fund Facility — the first multi-year IMF arrangement since 2006. The deal, significantly below the government's $2.5–2.8 billion expectation, is expected to catalyze an additional $3.1 billion from the World Bank, IDB, and other multilateral lenders for a total package of over $5 billion. Requires IMF Executive Board and Bolivian Congressional approval.
- **July 29:** Bolivian prosecutor issued an arrest warrant for former president Evo Morales on charges of armed insurrection and terrorism over the 53-day road blockades that paralyzed the country in May–June. This is the second active warrant — Morales already faces a human trafficking warrant from May 2026. Morales remains defiant in his Chapare stronghold, guarded by thousands of coca growers.
- **July (ongoing):** Paz's government sought US judicial cooperation to investigate Morales's alleged drug trafficking networks. Defense Secretary Hegseth publicly framed protesters as "narco-terrorists." Secretary of State Rubio assured "ramping up emergency assistance and logistics operations support."
- **Continental context:** The regional rightward shift accelerated with Keiko Fujimori's victory in Peru (June 7 runoff) and Abelardo de la Espriella's win in Colombia (June 21 runoff). Brazil's October 2026 election approaches. Latinobarómetro data shows right-wing identification at 20+ year highs.
- **Institutional:** ALBA suspended Bolivia as a member, citing Paz's "pro-imperialist and colonialist" conduct. Paz had refused to invite Maduro, Ortega, and Díaz-Canel to his inauguration.

ANALYSIS

POLITICAL

Paz has survived the May-June protest wave — the state of emergency (June 20) and the COB-brokered deal successfully cleared all blockades by June 23 — but the political landscape has become more treacherous, not less. The CSIS assessment published June 30 captured the consensus: "He will likely survive the current struggle but could be forced to resign before the end of 2026." One month later, that dual-track assessment remains accurate, but the weight of evidence has shifted marginally toward the downside.

The July 29 arrest warrant for Evo Morales on armed insurrection and terrorism charges represents a prosecutorial escalation that cuts both ways. On one hand, it demonstrates institutional resolve to hold Morales accountable for the blockades that left at least 14 dead. On the other, it risks triggering a new mobilization cycle from the Chapare, where Morales remains protected by thousands of armed coca growers. Morales's supporters have previously warned they would "throw the country into turmoil" if he is arrested — and a second arrest warrant compounds the perceived threat. The government's simultaneous outreach to the US for judicial cooperation on Morales's alleged drug trafficking links suggests a coordinated international legal strategy, but one that depends on US agencies whose operational presence in Bolivia remains politically toxic.

The Supreme Court's July 6 strike threat adds a new institutional fracture. Judicial authorities demanded 5% of the national budget — a non-starter in the current fiscal environment — while the justice system operates at 0.46% allocation with 22,000 pending cases. The "self-extended" (prorrogados) Constitutional Court magistrates, whose terms expired in 2023, continue to exercise judicial functions with the Supreme Court president publicly questioning their legality. This creates a governance paradox: the very institution Paz would need to validate emergency powers or prosecute Morales is itself in a legitimacy crisis.

Paz's congressional position remains fundamentally unchanged — his Christian Democratic Party lacks a majority, and the March-April 2026 subnational elections produced the most fragmented political map in Bolivia's democratic history, with seven of nine governorships going to runoffs and no party dominant. The fragmented legislature means Paz can neither pass structural reforms nor face a unified opposition — a stalemate that suits survival but precludes transformation.

The regional context reinforces Paz's position. Keiko Fujimori's razor-thin victory in Peru and Abelardo de la Espriella's win in Colombia consolidate a South American rightward shift that, per the Konrad Adenauer Stiftung, represents a "conservative turn of historic proportions." Brazil's October election — with Lula seeking a fourth term against Flávio Bolsonaro — will determine whether this becomes a continental realignment. ALBA's suspension of Bolivia is diplomatically meaningless but symbolically confirms Paz's break with the "socialism of the 21st century."

ECONOMIC

The economic picture has clarified dramatically in one month — and the clarity is sobering. The July 29 IMF staff-level agreement at $1.9 billion is simultaneously a major achievement and a major disappointment. It is the first multi-year IMF arrangement for Bolivia since 2006, validating Paz's reform program in the eyes of the international financial architecture. The IMF explicitly credited "the new administration's decisive reform plan" and projected the program would catalyze an additional $3.1 billion from the World Bank, IDB, and other partners — yielding a total financing envelope of over $5 billion.

But the $1.9 billion figure is significantly below the $3.3 billion Bolivia requested (per Bloomberg, February 2026) and even further below the $5 billion the government had signaled in late June. The gap reflects the IMF's assessment of Bolivia's actual balance-of-payments financing needs, and the lower figure limits Paz's fiscal room. The IMF program comes with conditionality that will almost certainly require further subsidy rationalization — the Finance for Development Lab notes that fuel subsidies still carried a fiscal cost of 3.3% of GDP even after the initial December 2025 cuts — transparency and efficiency reforms at loss-making state enterprises, and potential tax measures. These are precisely the reforms Paz cannot pass through Congress.

The July 15 transition to a floating exchange rate was a necessary correction. The 15-year peg had become untenable: parallel market rates reached 12.9–14.5 bolivianos per dollar while the official rate remained at 6.96, dollar shortages were chronic, and the central bank was using gold derivatives to inflate reported reserve figures. The FDL's April 2026 analysis concluded the Central Bank was likely insolvent. April 2026 had already authorized financial institutions to trade dollars at market rates — the July 15 move formalized what the market had already priced in.

The transition's costs are now materializing in real-economy disruptions rather than just financial metrics: - **Diesel crisis:** Santa Cruz's soybean sector — a $1 billion+ export industry — faces an acute diesel shortage threatening the harvest of 950,000 hectares. Anapo, the national oilseed producers' association, warns farmers "have no certainty" of supply. This compounds a sector already hit by drought: the 2025–26 main soybean harvest fell 24% below the three-year average, with the second harvest projected to drop 75%. - **Fiscal constraints:** The Paz government is operating under the 2026 Arce-era budget, which took effect automatically after failing to secure legislative approval. The budget process that would allow Paz's own fiscal framework to take effect is unlikely to produce results before January 2027 (when it could take automatic effect), meaning Bolivia will operate through the remainder of 2026 under inherited fiscal parameters. - **External debt pressure:** Bolivia faces $1.6 billion in external debt service through 2026 and $12 billion through 2030. The IMF program provides breathing room but does not resolve the structural question of how Bolivia generates foreign exchange when gas exports — historically the primary source — have collapsed.

The Petrobras invitation (July 9) is strategically rational but temporally misaligned with the crisis. Rehabilitating Bolivia's hydrocarbon sector requires years of upstream investment, not months. YPFB's production has declined from 51.5 MMmcd in 2018 to 27.3

MMmcd in 2025, and Bolivia has transformed from a net energy exporter to a country importing nearly $3 billion annually in fuel. The energy minister's refusal to provide investment figures or timelines for the Petrobras talks underscores their preliminary nature. The structural decline of Bolivia's gas sector is a multi-year problem that the current stabilization program addresses only indirectly, through the hope that exchange-rate flexibility and investment-law reform will eventually attract capital.

MILITARY

The military's role has transitioned from emergency enforcement to institutionalized dependency. The 90-day state of emergency (expiring September 18) has successfully cleared blockades and restored surface-level order, but the armed forces are now the visible guarantor of Paz's ability to govern. The Defense Minister's June resignation over the use of force against civilians signaled internal unease, but the military command has remained publicly loyal.

The US Defense Department's escalating rhetorical support — Hegseth's characterization of protesters as "narco-terrorists" and Rubio's commitment to "ramping up emergency assistance and logistics operations support" — creates a new dynamic: Bolivian military cooperation with the US is now explicitly framed as counter-narcotics and counter-insurgency. This alignment has operational benefits (equipment, logistics, training) but also political costs, reinforcing the Morales camp's narrative that Paz is a US puppet presiding over a militarized state.

The key risk is not a traditional coup but a slow institutional capture: the longer the military operates as the primary instrument of order maintenance, the harder it becomes to return to normal constitutional governance. The expanded Law on the Regulation of States of Emergency, passed in June, reportedly grants legal safeguards to repressive forces — a framework that civil society groups have labeled a "license to kill." If a second protest wave materializes (driven by diesel shortages, continued inflation, or a Morales arrest attempt), the military will again be the default response mechanism, deepening the governance dependency.

TECHNOLOGICAL

Bolivia's lithium potential — estimated at 23 million tons, the world's largest known reserves — remains the country's most significant strategic asset, but developments this period underscore the gap between potential and production. The $2 billion in contracts signed under Arce with Russia's Uranium One ($970 million) and Chinese consortium CBC/Citic Guoan ($1 billion) remain mired in legislative and technical delays. Mining.com reported in late July that the deals are "in limbo," with lawmakers accused of obstruction and the Paz government signaling openness to renegotiating terms, particularly around transparency and environmental standards.

The geopolitical dimension has sharpened. The Paz government's pivot toward Washington creates tension with the existing Chinese and Russian lithium agreements. Energy Minister Medinaceli stated in January that Bolivia would "respect all existing hydrocarbons and lithium agreements" as a "first message to investors," but the anti-Chinese and anti-

Russian momentum in La Paz (documented by Russia's Pivot to Asia) suggests these deals may be revisited if alternative Western investment materializes. The US has strategic interest in securing non-Chinese lithium supply chains, particularly as the Hormuz crisis and Iran war accelerate the electric vehicle transition — IEA data shows EV adoption surging in Q2 2026 as oil prices spiked. But Bolivia's investment climate, legal framework, and infrastructure remain prohibitive for near-term commercial extraction.

The Paz government's proposed electricity sector privatization and mining code reform — announced during the protest period — represent a technological vision aligned with US and Western interests, but face the same congressional blockade as every other structural reform. Lithium will remain a "future asset" through 2026, not a current-economy contributor.

WATCH INDICATORS

- Whether the boliviano stabilizes post-float or continues to depreciate, particularly if it passes 12 per dollar
- IMF Executive Board approval timeline and specific conditionality — especially any requirement for further subsidy cuts or public sector restructuring
- Whether the diesel shortage disrupts the Santa Cruz soybean harvest at scale, triggering an export revenue shock
- Evo Morales's response to the July 29 arrest warrant — any Chapare-originated mobilization or blockade attempt
- Congressional response to the IMF program approval requirement — a rejection would be catastrophic
- Military cohesion as the state of emergency approaches its September 18 expiration
- Brazil's October 2026 presidential election outcome and its implications for regional rightward momentum and Petrobras engagement

PROBABILITY TRIGGERS

EVENT	DIRECTION
IMF Executive Board approves $1.9B program with manageable conditionality	Down
Boliviano depreciates past 12 per dollar, triggering hyperinflation fears	Up
Congress approves IMF program and/or new investment law	Down
Morales supporters launch new blockade or protest wave from Chapare	Up
Diesel shortage causes measurable crop losses in Santa Cruz soybean harvest	Up

EVENT	DIRECTION
Military publicly withdraws support or fractures over extended deployment	Up
US announces bilateral economic or security assistance package for Bolivia	Down
Judicial crisis escalates — judges strike, Constitutional Court ruling on emergency powers	Up

KEY SOURCES

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